Cox regression compares borrowers in the risk set

ILLUSTRATIVE · At risk immediately before a default; all other covariates equal

A	B	C
Existing customer	Existing customer	New customer
Relative risk: 1	Relative risk: 1	Relative risk: e^{β}

$$P(C \text{ defaults} \mid \text{one default in risk set}) = \frac{e^{\beta}}{2 + e^{\beta}}$$

If $\beta = \log(2)$: $\quad \frac{2}{1+1+2} = \frac{1}{2}$

Conditional on one default occurring now; not a probability over a time horizon.